PAPER – 1: ACCOUNTING

QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:

   (a) At the end of the accounting year, all the nominal accounts of the ledger book are balanced.

   (b) Outstanding Expenditure is a nominal Account.

   (c) Bank reconciliation statement is prepared to arrive at the bank balance.

   (d) The provision for discount on debtors is calculated before deducting the provision for doubtful debts from debtors.

   (e) Land is also a depreciable asset.

   (f) Periodic inventory system is a method of ascertaining inventory by taking an actual physical count.

   (g) Both revenue and capital nature transactions are recorded in the Receipts and Payments Account.

   (h) Debentures Suspense Account appears on the Liability side of the Balance Sheet of a Company.

Theoretical Framework

2. (a) Briefly explain the following Concepts of Accounting:

   (i) Money Measurement Concept

(ii) Periodicity Concept.

(b) Differentiate between Provisions and Contingent Liabilities

Journal Entries

3. (a) You are required to pass necessary journal entries of the following

(i) Employees had taken stock worth ₹ 50,000 (Cost price ₹ 45,000) on the eve of New year and the same was deducted from their salaries in the subsequent month.

(ii) Wages paid for erection of Machinery ₹ 16,000.

(iii) Withdrawn for personal use: Goods(Sales Price 8,000, Cost 6,000) Cash 1,000

(iv) Purchase of goods from Sandeep of the list price of ₹ 60,000. He allowed 10% trade discount, ₹1,500 cash discount was also allowed for quick payment.

(v) Purchased second hand machinery from Jawahar industries for ₹ 3,00,000 plus CGST and SGST @ 6% each. Paid ₹ 1,00,000 immediately by cheque and balance to be paid after two months.

Capital or Revenue Expenditure

(b) Classify each of the following transactions into capital or revenue transactions:

(1) Inauguration expenses of a new manufacturing unit in an existing Business

(2) Installation of a new central heating system.

(3) Providing drainage for a new piece of water-extraction equipment.

(4) An extension of railways track in the factory.

Trial Balance

4. (a) One of your clients Mr. Hari Om asked you to finalize his account for the year ended 31st March,2025. As a basis for the audit, Mr. Hariom furnished you with the following statement:

	Dr.	*Cr.*
Hari Om's Capital		23,340
Hari Om's Drawings	8,460	
Leasehold Premises	11,250	
Sales		41,250
Due from customers		7,950
Purchases	18,885	
Purchase Return	3,960	
Loan from Bank		3,840
Trade Expense	10,500	
Trade Payable	7,920	
Bills Payable	1,500	
Salaries and Wages	9,000	
Cash at Bank	3,390	
Opening Inventory		3,960
Rent and Rates	6,945	
Sales Return		1,470
	81,810	81,810

The closing inventory was ₹ 8,612. Mr. Hari om claims that he has recorded every transaction correctly as the trial balance is tallied. Check the accuracy of the above trial balance and give reasons for the errors, if any.

Rectification of Errors

(b) Write out the Journal Entries to rectify the following errors, using a suspense Account.

(1) Goods of the value of ₹15,000 returned by Mr. Aman were entered in the Sales Day Book and posted therefrom to the credit of his account;

(2) An amount of ₹7,500 entered in the Sales Returns Book, has been posted to the debit of Mr. Ashish, who returned the goods;

(3) The total of "Discount Allowed" column in the Cash Book for the month of June,2025 amounting to ₹27,500 was not posted, though correctly recorded in Debtors Account.

(4) Bad Debts aggregating ₹8,000 were written off during the year was not posted to Bad Debts Account.

(5) A sale of ₹30,000 made to Ms. Aavya was correctly entered in the Sales Day Book but wrongly posted to the debit of Ms. Aadya as ₹ 3,000;

(6) Supplier account has been overcast by Rs. 225.

Bank Reconciliation Statement

5. The Cash-book of M/s Mazars shows ₹ 27,570 as the balance at Bank as on 31st March, 2025. But this does not agree with balance as per the Bank Statement. On scrutiny following discrepancies were found:

(i) Subsidy ₹ 10,250 received from the government directly by the bank, but not advised to the company.

(ii) On 15th March, 2025 the payments side of the Cash-book was under cast by ₹ 350.

(iii) On 20th March, 2025 the debit balance of ₹ 2,156 as on the previous day, was brought forward as credit balance in Cash-book.

(iv) A customer of the M/s Mazars, who received a cash discount of 5% on his account of ₹ 2,000, paid to M/s Mazars a cheque on 24^{th} March, 2025. The cashier erroneously entered the gross amount in the Cash-Book.

(v) On 10th March, 2025 a bill for ₹ 5,700 was discounted from the bank, entered in Cash-book, but proceeds credited in Bank Statement amounted to ₹ 5,500 only.

(vi) A cheque issued amounting to Ravi for ₹ 1,725 returned marked 'out of date'. No entry made in Cash-book.

(vii) Insurance premium ₹ 900 paid directly by bank under a standing order. No entry made in cash-book.

(viii) A bill receivable for ₹ 1,530 discounted for ₹ 1,500 with the bank had been dishonoured on 30th March, 2025, but advice was received on 1st April, 2025.

(ix) Bank recorded a Cash deposit of ₹ 1,650 as ₹ 1,560.

Prepare Bank Reconciliation Statement on 31st March, 2025.

Valuation of Inventories

6. From the following particulars ascertain the value of inventories as on 31st March, 2025 :

Inventory as on 1st April, 2024	₹ 10,50,000
Purchase made during the year	₹ 36,00,000
Sales	₹ 55,50,000
Manufacturing Expenses	₹ 3,00,000
Selling and Distribution Expenses	₹ 1,50,000
Administration Expenses	₹ 2,40,000

At the time of valuing inventory as on 31st March, 2024, a sum of ₹ 60,000 was written off on a particular item which was originally purchased for ₹ 1,65,000 and was sold during the year for ₹ 1,50,000.

Except the above mentioned transaction, gross profit earned during the year was 20% on sales.

Depreciation and Amortisation

7. A purchased machinery on 01.01.2021 for ₹1,94,000 and spent ₹6,000 on its erection. On 01.07.2021, additional Machinery costing ₹1,00,000 were purchased. On 01.01.2023, the Machinery purchased on 01.01.2021 having become obsolete was auctioned for ₹1,00,000. On 01.07.2023, a new machinery was purchased at a cost of ₹1,50,000. Depreciation was provided for annually on 31st December at the rate of 10% per annum on the original cost of the Machinery. In 2024, A changed the method of writing off 15% p.a. in the written down show the Machinery Account for the Calendar Yare 2021 to 2024.

Bills of Exchange

8. Mr. Kabir accepted a bill for ₹ 10,000 drawn on him by Mr. Samarveer on 1st August, 2024 for 3 months. This was for the amount which Kabir owed to Samarveer. On the same date Mr. Samarveer got the bill discounted at his bank for ₹ 9,800.

   On the due date, Kabir approached Samarveer for renewal of the bill. Mr. Kabir agreed on condition that ₹ 2,000 be paid immediately along with interest on the remaining amount at 12% p.a. for 3 months and that for the remaining balance B should accept a new bill for 3 months. These arrangements were carried through. On 31st December, 2024, Kabir became insolvent and his estate paid 40%.

   Prepare Journal Entries in the books of Mr. Samarveer.

Final accounts and Rectification of entries

9. The following is the Trial Balance of M/s Thomas & Associates on 31st March,2025:

	Dr. ₹	Cr. ₹
Capital	-	45,00,000
Drawings	5,25,000	-
Fixed Assets (Opening)	10,50,000	-
Fixed Assets (Additions 01.10.2024)	15,00,000	-
Opening Stock	4,50,000	-

Purchases	1,20,00,000	-
Purchases Returns	-	5,17,500
Sales	-	1,65,00,000
Sales Returns	7,42,500	-
Debtors	18,75,000	-
Creditors	-	16,50,000
Expenses	4,80,000	-
Fixed Deposit with Bank	15,00,000	-
Interest on Fixed Deposit	-	1,50,000
Bank Overdraft	-	60,000
Suspense A/c	-	15,000
Rent (17 months upto 31.8.2025)	1,27,500	-
Investments 12% (01.8.2024)	18,75,000	-
Bank Balance	12,67,500	-
	2,33,92,500	2,33,92,500

Stock on 31st March,2025 was valued at ₹ 7,50,000. Depreciation is to be provided at 10% per annum on fixed assets purchased during the year. A scrutiny of the books of account revealed the following matters:

(i) ₹ 1,50,000 drawn from bank was debited to Drawings account, but out of this amount withdrawn ₹ 90,000 was used in the business for day-to-day expenses.

(ii) Purchase of goods worth ₹ 1,20,000 was not recorded in the books of account upto 31.03.2025, but the goods were included in stock.

(iii) Purchase returns of ₹ 7,500 was recorded in Sales Return Journal and the amount was correctly posted to the Party's A/c on the correct side.

(iv) Expenses include ₹ 45,000 in respect of the period after 31st March,2025.

Give the necessary Journal Entries in respect of (i) to (iv) and prepare the Final Accounts for the year ended 31st March, 2025.

Financial Statements of Not for Profit Organizations

10. Dr. Malik started private practice on 1st April, 2024 with ₹ 8,00,000 of his own fund and ₹ 12,00,000 borrowed at an interest of 12 p.a. on the security of his life policies. His accounts for the year were kept on a cash basis and the following is his summarized cash account:

Receipts	₹	Payments	₹
Own Capital	8,00,000	Medicines Purchased	9,80,000
Loan	12,00,000	Surgical Equipment	10,00,000
Prescription Fees	26,40,000	Motor Car	12,80,000
Visiting Fees	10,00,000	Motor Car Expenses	4,80,000
Lecture Fees	96,000	Wages and Salaries	4,20,000
Pension Received	12,00,000	Rent of Clinic	2,40,000
		General Charges	1,96,000
		Household Expenses	7,20,000
		Household Furniture	1,00,000
		Expenses on Daughter's Marriage	8,60,000
		Interest on Loan	1,44,000
		Balance at Bank	4,40,000
		Cash in Hand	76,000
	69,36,000		69,36,000

1/3rd of the motor car expenses may be treated as applicable to the private use of car and ₹ 30,000 of salaries are in respect of domestic servants. The stock of medicines in hand on 31st March, 2025 was valued at ₹ 3,80,000.

You are required to prepare his private practice income and expenditure account and capital account for the year ended 31st March, 2025. Ignore depreciation on fixed assets.

Accounts from Incomplete Records

11. Freeze Limited gives you the following information

Particulars	₹	Particulars	₹
Debtors as on 1st April (Opening Balance)	1,57,500	Discount allowed by Suppliers	15,750
Creditors as on 1st April (Opening Balance)	1,82,250	Discount allowed to Customers	20,250
Bills Receivable received during the year	1,05,750	Endorsed Bills Receivable dishonoured	6,750
Bills Payable issued during the year	1,19,250	Sales Return	24,750
Cash received from Customers	3,51,000	Bills Receivable Discounted	18,000
Cash paid to Suppliers	3,87,000	Discounted Bills Receivable	4,500
Bad Debts Recovered	36,000	Cash Sales	3,79,125
Bills Receivables endorsed to Creditors	60,750	Cash Purchases	4,45,050
Bills Receivables dishonoured by Customers	11,250	Debtors on 31st March (Closing Balance)	1,84,500
		Creditors as on 31st March (Closing Balance)	2,13,750

You are required to calculate total sales and total purchases.

Partnership Accounts

Retirement of Partner

12. On 31st March, 2025, the Balance Sheet of P, Q and R sharing profits and losses in proportion to their Capital stood as below:

Liabilities	₹	Assets	₹
Capital Account:		Land and Building	75,000

Mr. P	50,000	Plant and Machinery	50,000
Mr. Q	75,000	Stock of goods	30,000
Mr. R	50,000	Sundry debtors	27,500
Sundry Creditors	25,000	Cash and Bank Balances	17,500
	2,00,000		2,00,000

On 1st April, 2025, P desired to retire from the firm and remaining partners decided to carry on the business. It was agreed to revalue the assets and liabilities on that date on the following basis:

(i) Land and Building be appreciated by 20%.

(ii) Plant and Machinery be depreciated by 30%.

(iii) Stock of goods to be valued at ₹25,000.

(iv) Old credit balances of Sundry creditors, ₹5,000 to be written back.

(v) Provisions for bad debts should be provided at 5%.

(vi) Joint life policy of the partners surrendered and cash obtained ₹ 18,875.

(vii) Goodwill of the entire firm is valued at ₹35,000 and P's share of the goodwill is adjusted in the A/cs of Q and R, who would share the future profits equally. No goodwill account being raised.

(viii) The total capital of the firm is to be the same as before retirement. Individual capital is in their profit sharing ratio.

(ix) Amount due to Mr. P is to be settled on the following basis:

50% on retirement and the balance 50% within one year.

Prepare (a) Revaluation account, (b) The Capital accounts of the partners, (c) Cash account and (d) Balance Sheet of the new firm M/s Q & R as on 1.04.2025.

Death of Partner

13. The partnership deed of a firm consisting of 3 partners - Alfa, Beta and Gamma (profit sharing ratio being 2:1:1) and whose fixed capitals are ₹ 90,000, ₹ 36,000 and ₹ 24,000 respectively provides as follows:

(i) The partners are allowed interest @ 8% p.a. on their fixed capitals, but no interest is to be allowed on undrawn profits or charged on drawings.

(ii) That upon the death of a partner, the goodwill of the firm be valued at 2 years purchase of the average net profit (after charging interest on capital) for the 3 years to 31st December preceding the death of a partner.

(iii) That an insurance policy of ₹ 75,000 each was taken in individual names of each partner. The premium was charged against the profits of the firm. The surrender value of the policy was 20% of the sum assured.

(iv) Upon the death of a partner, he is to be credited with his share of the profits, interest on capitals, etc. calculated upto 31st December following his death.

(v) That the share of the partnership policy and goodwill be credited to a deceased partner as on 31st December following his death.

(vi) That the partnership books to be closed annually on 31st December.

Alfa died on 30th September, 2024. The amount standing to the credit of his current account as on 31st December, 2023 was ₹ 15,000 and from that date to the date of death he had withdrawn₹ 90,000 from the business.

An unrecorded liability of ₹ 18,000 was discovered on 30th September, 2024 and it was decided to record it and immediately pay it off.

The trading results of the firm (before charging interest on capital) had been as follows:

2021	Profit ₹ 88,020
2022	Profit ₹ 79,410
2023	Loss ₹ 24,960
2024	Profit ₹ 40,410

You are required to prepare an account showing the amount due to Alfa's legal heir as of 31 December 2024.

Note: Impact for unrecorded liability not to be given in earlier years.

Issue and Redemption of Shares

14. A Limited is a company with' an authorised share capital of ₹ 2,50,00,000 in equity shares of ₹ 10 each, of which 15,00,000 shares had been issued and fully paid up on 31st March, 2025. The company proposes to make a further issue of 337,500 of these ₹ 10 shares at a price of ₹ 14 each, the arrangement of payment being:

    (i) ₹ 2 per share payable on application, to be received by 31st May, 2025;

    (ii) Allotment to be made on 10th June, 2025 and a further ₹ 5 per share (including the premium to be payable);

    (iii) The final call for the balance to be made, and the money received by 31st December, 2025.

    Applications were received for 14,00,000 shares and dealt with as follows:

    (1) Applicants for 25,000 shares received allotment in full;

    (2) Applicants for 125,000 shares received allotment of 1 share for every 2 applied for; no money was returned to these applicants, the surplus on application being used to reduce the amount due on allotment;

    (3) Applicants for 12,50,000 shares 'received an allotment of 1 share for every 5 shares applied for; the money due on allotment was retained by the company, the excess being returned to the applicants; and

    (4) The money due on final call was received on the due date.

    You are required to record these transactions (including bank transactions) in the Journal Book of A Limited.

Issue and Redemption of Debentures

15. On 1st April 2025 Weavers Ltd. issued 5,00,000 12% debentures of ₹ 100 each at a discount of 5%, redeemable on 31st March, 2030. Issue was oversubscribed by 1,00,000 debentures, who were refunded their money. Interest is paid annually on 31st March. You are required to prepare:

    (i) Journal Entries at the time of issue of debentures.

    (ii) Discount on issue of Debenture Account

    (iii) Interest account and Debenture holder Account assuming TDS is deducted @10%

16. XYZ Ltd. has issued 2,500, 12% convertible debentures of ₹ 100 each redeemable after a period of five years. According to the terms & conditions of the issue, these debentures were redeemable at a premium of 5%. The debenture holders also had the option at the time of redemption to convert 20% of their holdings into equity shares of ₹ 10 each at a price of ₹ 20 per share and balance in cash. Debenture holders amounting ₹ 50,000 opted to get their debentures converted into equity shares as per terms of the issue. You are required to calculate the number of shares issued and cash paid for redemption of ₹ 50,000 debenture holders.

17. Following is the extract of Balance Sheet of Super Ltd. as at 31st March, 2025 :

	₹
Authorized capital:	
7,50,000 equity shares of ₹10 each	75,00,000
62,500,10% preference shares of ₹10 each	6,25,000
	81,25,000
Issued and subscribed capital:	
6,75,000 equity shares of ₹ 10 each fully paid up	67,50,000
60,000, 10% preference shares of ₹ 10 each fully paid up	6,00,000
	73,50,000

Reserves and surplus:	
General reserve	9,00,000
Capital redemption reserve	3,00,000
Securities premium (collected in cash)	1,87,500
Profit and loss account	15,00,000
	28,87,500

On 1st April, 2025, the company decided to capitalize its reserves by way of bonus at the rate of two shares for every five equity shares held.

Show necessary journal entries in the books of the company and prepare the extract of the balance sheet after bonus issue.

18. Write short notes on the following:

    (i) Fundamental Accounting Assumptions.

    (ii) Retirement of bills of exchange.

    (iii) Petty cash book and its advantages.

    (iv) Machine Hour Rate method of calculating depreciation.

    (v) When Garner V/s Murray rule not applicable incase of dissolution of partnership firm.